

year. The remaining balance carries forward into the next tax year. Don't overlook this.

3. Maximize tax-advantaged accounts

Do you like free money? Then, make sure you max out your 401k, especially if your employer gives you a match. The most you can put into an IRA pre-tax is \$7,000 per year; the most for 401(k)s in 2025 is \$23,500 if you are under 50, \$31,000 if you are 50+ (and more if you are 60+). There are catch-up contributions as well.

You may benefit from converting to a Roth IRA. (*Warning:* This involves paying taxes.) The advantages are that it grows tax free, there are no required minimum distributions (unlike IRAs/401ks), and your beneficiaries can also inherit the Roth IRA tax free.

If you have kids, max out their 529 plans⁴¹⁸ (in 2025, it's \$19,000 per beneficiary per donor). Lifetime limits and ceilings vary by state (there is also a five-year gifting rule without gift tax consequences), so ask the pros what applies to your situation.

4. Estate taxes

The odds are against you owing any estate taxes. The 2025 individual exemption is \$13.99 million (double that for married couples). That ceiling expires at the end of 2025, and so it is dependent on what Congress does about it between the start of the new administration and 2026. If the Tax Cuts and Jobs Act (TCJA) expires, then the estate deduction reverts to \$7 million per person.

If your estate is under that, well then, you can relax, you won't owe any federal taxes after you join the choir invisible.⁴¹⁹ But if you are fortunate enough to leave a substantial estate, there are a handful of things you can do now to reduce or eliminate what you owe: